

# Business Responsibility Report

## Section A: General information about the Company

| Sl. No. | Particulars                                                                                       | Details                                                                                                                                            |
|---------|---------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.      | Corporate Identity Number (CIN) of the Company                                                    | L74899DL1995PLC069839                                                                                                                              |
| 2.      | Name of the Company                                                                               | Varun Beverages Limited                                                                                                                            |
| 3.      | Registered address                                                                                | F-2/7, Okhla Industrial Area, Phase - I, New Delhi - 110020                                                                                        |
| 4.      | Website                                                                                           | www.varunpepsi.com                                                                                                                                 |
| 5.      | E-mail id                                                                                         | complianceofficer@rjcorp.in                                                                                                                        |
| 6.      | Financial Year reported                                                                           | January 1, 2021 to December 31, 2021                                                                                                               |
| 7.      | Sector(s) that the Company is engaged in (industrial activity code wise)                          | ITC Code - 220600<br>Manufacturing and Distribution of Carbonated, Non-carbonated beverages, fruit juices based drinks and packaged drinking water |
| 8.      | List three key products / services that the Company manufactures / provides (as in balance sheet) | Pepsi, Mountain Dew and Tropicana Juices                                                                                                           |
| 9.      | Total number of locations where business activity is undertaken by the Company                    |                                                                                                                                                    |
|         | (i) Number of International Locations (Provide details of major 5)                                | 5 (Nepal, Sri Lanka, Morocco, Zambia, and Zimbabwe)                                                                                                |
|         | (ii) Number of National Locations                                                                 | Presence in 27 States and 7 Union Territories                                                                                                      |
| 10.     | Markets served by the Company - Local / State / National / International                          | India, Nepal, Sri Lanka, Morocco, Zambia and Zimbabwe                                                                                              |

## Section B: Financial details of the Company

| Sl. No. | Particulars                                                                                   | Details                                          |
|---------|-----------------------------------------------------------------------------------------------|--------------------------------------------------|
| 1.      | Paid up Capital                                                                               | ₹ 4,330.33 million                               |
| 2.      | Total Turnover                                                                                | ₹ 65,957.42 million                              |
| 3.      | Total profit after taxes                                                                      | ₹ 4,894.87 million                               |
| 4.      | Total Spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%) | 1.38% of profit after tax of Financial Year 2021 |
| 5.      | List of activities in which expenditure in 4 above has been incurred                          | Please refer Annexure - D to the Board's Report  |

## Section C: Other details

| Sl. No. | Particulars                                                                                                                                                                                                                                                  | Details                                                                                                                                                                                                                                 |
|---------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.      | Does the Company have any Subsidiary Company/Companies?                                                                                                                                                                                                      | Yes                                                                                                                                                                                                                                     |
| 2.      | Do the Subsidiary Company/Companies participate in the BR Initiatives of the parent company? If yes, then indicate the number of such subsidiary company(s)                                                                                                  | No                                                                                                                                                                                                                                      |
| 3.      | Do any other entity/entities (e.g. suppliers, distributors, etc.) that the Company does business with participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30-60%, More than 60%] | Yes. Starting CY21, VBL has started recording the carbon footprint of primary distributors in India which includes the consumption of fuel for distribution of finished goods. More than 60% distributors are covered in this exercise. |

## Section D: Business Responsibility information

### 1. Details of Director/Directors responsible for BR

| Sl. No. | Particulars                                                                                                            | Details          |                                               |
|---------|------------------------------------------------------------------------------------------------------------------------|------------------|-----------------------------------------------|
| 1.      | Details of the Director/Directors responsible for implementation of the BR policy/policies (including ESG initiatives) | DIN              | 02079161                                      |
|         |                                                                                                                        | Name             | Mr. Kapil Agarwal                             |
|         |                                                                                                                        | Designation      | Whole-time Director & Chief Executive Officer |
| 2.      | Details of the BR head                                                                                                 | DIN              | 08440479                                      |
|         |                                                                                                                        | Name             | Mr. Rajinder Jeet Singh Bagga                 |
|         |                                                                                                                        | Designation      | Whole-time Director                           |
|         |                                                                                                                        | Telephone Number | +91-124-4643100                               |
|         |                                                                                                                        | E-mail id        | rjs.bagga@rjcorp.in                           |

### 2. Principle wise (as per NVGs) BR Policy/Policies

The National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business (NVGs) released by the Ministry of Corporate Affairs has adopted nine principles of Business Responsibility. These briefly are as follows:

|    |                                                                                                                                                             |
|----|-------------------------------------------------------------------------------------------------------------------------------------------------------------|
| P1 | Business should conduct and govern themselves with Ethics, Transparency and Accountability                                                                  |
| P2 | Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle                                     |
| P3 | Businesses should promote the wellbeing of all employees                                                                                                    |
| P4 | Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized |
| P5 | Businesses should respect and promote human rights                                                                                                          |
| P6 | Business should respect, protect, and make efforts to restore the environment                                                                               |
| P7 | Businesses when engaged in influencing public and regulatory policy, should do so in a responsible manner                                                   |
| P8 | Businesses should support inclusive growth and equitable development                                                                                        |
| P9 | Businesses should engage with and provide value to their customers and consumers in a responsible manner                                                    |

### 3. Details of Compliance (Reply in Y/N)

| Sl. No. | Questions                                                                                                               | P1 | P2                   | P3          | P4            | P5           | P6             | P7  | P8            | P9  |
|---------|-------------------------------------------------------------------------------------------------------------------------|----|----------------------|-------------|---------------|--------------|----------------|-----|---------------|-----|
| 1.      | Do you have a policy/policies for....                                                                                   | Y  | Y                    | Y           | Y             | Y            | Y              | Y   | Y             | Y   |
| 2.      | Has the policy been formulated in consultation with the relevant stakeholders?                                          | Y  | Y                    | Y           | Y             | Y            | Y              | Y   | Y             | Y   |
| 3.      | Does the policy conform to any national/international standards? If yes, specify?#                                      | Y  | Y                    | Y           | Y             | Y            | Y              | Y   | Y             | Y   |
| 4.      | Has the policy been approved by the Board? If yes, has it been signed by MD/owner/CEO/appropriate Board Director?       | Y  | Y                    | Y           | Y             | Y            | Y              | Y   | Y             | Y   |
| 5.      | Does the company have a specified committee of the Board/Director/Official to oversee the implementation of the policy? | Y  | Y                    | Y           | Y             | Y            | Y              | Y   | Y             | Y   |
| 6.      | Indicate the link for the policy to be viewed online                                                                    | *  | **<br>*** &<br>***** | * &<br>**** | ** &<br>***** | * &<br>***** | *** &<br>***** | *** | ** &<br>***** | *** |
| 7.      | Has the policy been formally communicated to all relevant internal and external stakeholders?                           | Y  | Y                    | Y           | Y             | Y            | Y              | Y   | Y             | Y   |

| Sl. No. | Questions                                                                                                                 | P1 | P2 | P3 | P4 | P5 | P6 | P7 | P8 | P9 |
|---------|---------------------------------------------------------------------------------------------------------------------------|----|----|----|----|----|----|----|----|----|
| 8.      | Does the company have in-house structure to implement the policy/policies?                                                | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  |
| 9.      | Does the Company have a grievance redressal mechanism to address stakeholders' grievances related to the policy/policies? | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  |
| 10.     | Has the company carried out independent audit/evaluation of the working of this policy by an internal or external agency? | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  | Y  |

# Policies of the Company are compliant of the applicable laws in India and uploaded on website of the Company at [www.varunpepsi.com](http://www.varunpepsi.com)

\* Code of Conduct for Board of Directors and Senior Management at <https://varunpepsi.com/wp-content/uploads/2019/03/Code-Of-Conduct-For-Board-Of-Directors-and-Senior-Management-Revised.pdf>

\*\* VBL Philosophy at <https://varunpepsi.com/philosophy/>

\*\*\* Environment, Health and Safety Policy at <https://varunpepsi.com/wp-content/uploads/2019/03/Varun-Beverages-Limited-EHS-POLICY.pdf>

\*\*\*\* Policy for Prevention, Prohibition and Redressal of Sexual Harassment at Workplace at <https://varunpepsi.com/wp-content/uploads/2022/02/POSH-Policy.pdf>

\*\*\*\*\* Corporate Social Responsibility Policy at <https://varunpepsi.com/wp-content/uploads/2021/06/CSR-Policy-1.pdf>

\*\*\*\*\* Go Green Guidelines at <https://varunpepsi.com/wp-content/uploads/2021/08/Go-Green-Guidelines-VBL.pdf>

#### 4. Governance related to BR

| Sl. No. | Particulars                                                                                                                                                                                       | Details                                                                                                                                             |
|---------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.      | Indicate the frequency with which the Board of Directors, Committee of the Board or CEO meet to assess the BR performance of the Company. Within 3 months, 3-6 months, Annually, More than 1 year | Annually                                                                                                                                            |
| 2.      | Does the Company publish a BR or Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?                                                            | Yes, it is published annually. The same may be accessed at <a href="http://www.varunpepsi.com">www.varunpepsi.com</a> as part of Annual Report 2021 |

### Section E: Principle-wise performance

#### Principle 1:

| Sl. No. | Particulars                                                                                                                                                                                               | Details                                                                                                                                                                                                                                                                                                                                                 |
|---------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.      | Does the policy relating to ethics, bribery, and corruption cover only the company? Yes/No                                                                                                                | Yes                                                                                                                                                                                                                                                                                                                                                     |
| 2.      | Does it extend to the Group/Joint Ventures/Suppliers/Contractors/NGOs/Others?                                                                                                                             | Yes. The policy coverage has been extended to the Contractors w.e.f. February 3, 2022<br><br>The Company has training programs to cover all employees. The scope of training is planned to be extended to contractors starting CY22. Further, the Company conducts audits of its code of conduct and ethical standards which covers all its operations. |
| 3.      | How many stakeholder complaints have been received in the past Financial Year and what percentage was satisfactorily resolved by the management? If so, provide details thereof, in about 50 words or so. | For details on investor complaints, refer to "Investor Grievances/Complaints" section of Corporate Governance Report in the Annual Report.                                                                                                                                                                                                              |

**Principle 2:****1. List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities:**

Varun Beverages Limited (VBL) is in the business of providing high quality food products to consumers such as carbonated, non-carbonated sweetened beverages, fruit juices and packaged drinking water with endeavor to make its business and ecosystem sustainable. The Company tries to embed the principles of sustainability into various stages of product, procurement of raw material, manufacturing of products, transportation of raw materials and supply of finished goods. In order to continuously reduce the Company environmental footprint, the Company is improving efficiencies, especially on critical resources such as water, fuel and energy, optimizing the resource consumption and minimizing wastages including plastic waste management, increasing green cover in manufacturing plants and also developing outside establishments. Our company has significantly reduced weight of the closure and preforms over the period of time to contribute towards environment sustainability. In some of our SKUs we have successfully reduced the weight of the preform and plastic closures in the range of 10-20% over last few years through various technological changes including usage of nitrogen in packaged drinking water. The Company has implemented the guidelines provided by international standards such as Environment Management System ISO 14001, OHSAS 18001 and moreover all our units are AIB and FSSC certified which is the world's most advanced stringent food safety management system accepted globally. Quality audits are regularly carried out at various locations to ensure all our food safety standards are being met. We have also implemented water consumption optimization measures and water recovery and reuse of the water across all plants and have appointed an independent agency TUV India Pvt. Limited to audit Company's water footprint assurance.

**2. For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product (optional):****(a) Reduction during sourcing/production/distribution achieved since the previous year throughout the value chain?**

The Company follows number of key Environmental Indicators to monitor the efficiency and consumption of natural resources in manufacturing such as water consumption and recycling, fuel consumption,

energy consumption, raw materials yield and waste generation. The Company regularly track these consumption patterns of critical nature resources and also ensures improvement is achieved in the KPI's on sustainable ways. Through these initiatives, the Company has been able to increase its Energy Efficiency i.e. Litres of beverage produced per unit (in kWh) of electrical energy consumption in plants (excluding energy consumed for backward integration) by 6.7% from 11.8 litre/kWh in CY20 to 12.6 litre/kWh in CY21; reduce the Carbon Intensity i.e. Grams of CO<sub>2</sub>e emission per litre of beverage produced during the year (including Scope 1, Scope 2 and Scope 3) from 354.87grams/litre in CY20 to 324.37 grams/litre in CY21 and reduce the Water Usage Ratio i.e. Litres of water consumed per litre of beverage produced from 1.92 in CY20 to 1.89 in CY21.

**(b) Reduction during usage by consumers (energy, water) has been achieved since the previous year?**

Reduction in Greenhouse Gases emission which is measured in units of carbon dioxide. Number of initiatives have already been implemented across various units. Some of the key improvements done are use of fuels like CNG operated boiler, biomass for steam generation, usage of renewable (Solar/Wind) energy and optimizing the water requirements at manufacturing plants. Company monitors the energy consumption and carbon footprint of warehouses and vehicles being deployed by third parties and their respective emissions are audited by third party and reported in the annual report.

**3. Does the Company have procedures in place for sustainable sourcing (including transportation)?**

Yes

**(a) If yes, what percentage of your inputs was sourced sustainably? Also, provide details thereof, in about 50 words or so.**

With a responsible supply chain, the Company has developed a comprehensive and dynamic supply chain model, to engage with its suppliers and transporters on material aspects. Regular capacity building and assessments are carried out for key suppliers. Company monitors the energy consumption and carbon footprint of warehouses and vehicles being deployed by third parties and their respective emissions are audited by third party and reported in the annual report.

**4. Has the Company taken any steps to procure goods and services from local and small producers, including communities surrounding their place of work? Yes**

**(a) If yes, what steps have been taken to improve the capacity and capability of local and small vendors?**

The Company has tried to create new paths and provide opportunities to the new startups and small entrepreneurs and establish local vendors by uplifting their skills in effective manner. The Company also strive to provide opportunities in distressed areas and has devised unique models for empowerment of people in such areas. These sort of interventions not only improve the efficiency and enhance productivity but also contribute to substantial employment creation in communities surrounding the workplaces.

**5. Does the company have a mechanism to recycle products and waste? If yes, what is the percentage of recycling of products and waste (separately as <5%, 5-10%, >10%). Also, provide details thereof, in about 50 words or so.**

Yes. The Company is committed towards reduction of environmental footprint of its products, waste and packaging materials. The Company focuses on

the 3R's: REDUCE, RECYCLE and RECOVER. Such practices include segregation of different types of waste material so as to regulate the recyclability, anti-litter and recyclable marks on products to remind consumers to dispose in a safe and environment friendly way. As more than 80% of the Company's product mix consist of PET bottles, it has engaged GEM Enviro Management Pvt. Ltd. (a Delhi-based Central Pollution Control Board ("CPCB") recognized PRO (Producer Responsible Organization)), for phased implementation of 100% recycling of used PET bottles through collection from end-users by placing dustbins / reverse vending machines, direct collection from Institutions (Hotels, Banquet Halls, Exhibitions, etc.), and spreading awareness through workshops.. The Company also supports initiatives to recycle materials and has installed small machineries for shredding the waste which helps to minimize the volume and also ease the transportation to the recycling agencies. Majority of the waste generated at plant levels are recyclable i.e. plastic bottles, metal scrap, broken glass, empty bags, cartons etc. One of the major product segment consists of returnable glass bottle which after consumption of its product is returned and reused after taking care of thorough food safety. Recycling of plastic waste is >10%. During CY21, 70% of plastic waste was recycled per Kg of PET sold in finished products.

**Principle 3:**

| Sl. No. | Particulars                                                                                                                                                                                                                                     | Details                                                            |
|---------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------|
| 1.      | Please indicate the total number of employees                                                                                                                                                                                                   | 7,965 permanent employees as on December 31, 2021 (only for India) |
| 2.      | Please indicate the total number of employees hired on temporary/contractual/casual basis                                                                                                                                                       | 11,483 employees as on December 31, 2021 (only for India)          |
| 3.      | Please indicate the number of permanent women employees                                                                                                                                                                                         | 200 employees as on December 31, 2021                              |
| 4.      | Please indicate the number of permanent employees with disabilities                                                                                                                                                                             | 2 employees as on December 31, 2021                                |
| 5.      | Do you have an employee association that is recognized by management                                                                                                                                                                            | Yes                                                                |
| 6.      | What percentage of your permanent employees are members of this recognized employee association?                                                                                                                                                | 21.23%                                                             |
| 7.      | Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment, discriminatory employment in the last financial year and pending, as on the end of the Financial Year                  | Nil                                                                |
| 8.      | What percentage of your employees were given safety & skill upgradation training in the last year?<br>(a) Permanent Employees<br>(b) Permanent Women Employees<br>(c) Casual/Temporary/Contractual Employees<br>(d) Employees with Disabilities | Safety Training: 71%<br>Skill Upgradation Training: 51%            |

**Principle 4:**

| Sl. No. | Particulars                                                                                                                                                                                 | Details                                                                                                        |
|---------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|
| 1.      | Has the Company mapped its internal and external stakeholders?                                                                                                                              | Yes. Details of Shareholders/Investors, Banks, Employees and Business Partners are available with the Company. |
| 2.      | Out of the above, has the Company identified the disadvantaged, vulnerable and marginalized stakeholders                                                                                    | No                                                                                                             |
| 3.      | Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable, and marginalized stakeholders? If so, provide details thereof, in about 50 words or so | These are covered under the CSR policy of our Company.                                                         |

**Principle 5:**

| Sl. No. | Particulars                                                                                                                                    | Details                                                     |
|---------|------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------|
| 1.      | Does the policy of the Company on human rights cover only the company or extend to the Group/Joint Ventures/Suppliers/Contractors/NGOs/Others? | Policy is applicable to the Company, Group and Contractors. |
| 2.      | How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?  | No complaint of any stakeholder was received.               |

**Principle 6:****1) Does the policy related to Principle 6 cover only the company or extends to the Group/Joint Ventures/Suppliers/Contractors/NGOs others.**

The policy is applicable to VBL, Group and Contractors as protection of the environment, health and safety carries very high importance. The Company's EHS policy speaks about the best practices and offers safe and healthy operations for employees, contractors and visitors. Same is displayed in the form of posters and instructions. Having ISO 14001 and OHSAS 18001 certifications at many plants demonstrates VBL's commitment towards reaching the industries best levels for environment sustainability. We also communicate our EHS policies and other requirements to suppliers and customers. The Business Responsibility head of the Company reviews the health safety metrics such as count of incidents, loss time, fatalities, training hours, etc. on the regular basis and takes appropriate action wherever needed.

**2) Does the company have strategies/initiatives to address global environmental issues such as climate change, global warming, etc.? If yes, please give hyperlink for webpage etc.**

Yes. The Company is committed to reach the industry best standards in terms of water usage, fuel and energy consumption, GHG emission as well as other environmental parameters. We also encourage and use clean energy to ensure less dependence on fossil fuel by implementing solar panels, wind mills etc. The performance progress is documented at plant and Corporate level which is reviewed at regular intervals. For hyperlink, please refer Section D of BRR.

**3) Does the Company identify and assess potential environmental risks?**

Yes. Identification of potential environment risk is part of our Environment management system- ISO 14001 which is implemented in most of our plants to assess impact on environment. All the potential environment risk are mitigated by adapting effective control measures. VBL has engaged DQS India for conducting carbon footprint assessment and verification across all locations (manufacturing plants, warehouses, corporate office, sales offices) in India covering Scope 1, 2 & 3 emission sources. DQS India is the Indian subsidiary of DQS Holding GmbH, one of the leading Management System Certification, Assessment & Training organizations globally.

**4) Does the company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if Yes, whether any environmental compliance report is filed?**

Yes. The Company has undertaken initiatives to reduce Carbon footprint through reduction in the amount of Greenhouse Gases emissions. Some of the key renewable energy projects contributing to GHG savings include installation and commissioning solar plant at the Company's Nuh and Greater Noida plant and other energy saving projects. Use of fuels like biomass for steam generation at number of plants. The Company files annual and other environment statements reports as per Pollution Control Board requirements.

**5) Has the company undertaken any other initiatives on - clean technology, energy efficiency, renewable energy, etc. If yes, please give hyperlink for web page etc.**



Yes. The Company is proactive in adopting new technologies that use cleaner fuels and forms of energy. Company has commissioned solar power at its manufacturing set up at Nuh, Greater Noida, Sandila, Sricity, Aurangabad and Pathankot and also redesigned the power generation units at many locations. In many of our facility(ies) we have started using clean fuel like PNG which is more environmental friendly. Manufacturing units also use latest automations, heat recoveries and modern technologies to be energy and cost efficient. For hyperlink, please refer Section D of BRR.

**6) Are the Emissions/Waste generated by the company within the permissible limits given by CPCB/SPCB for the financial year being reported?**

Yes. Our most of the Plants have installed online monitoring systems in Effluent Treatment Plant as well as Boiler emissions for all time compliance which is being monitored by CPCB on real time basis. All the hazardous waste goes to PCB approved land fill site on periodic basis.

**7) Number of show cause/legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year.**

Nil

**Principle 7:**

| Sl. No. | Particulars                                                                                                                                                                                                                                                                                                                  | Details                                                                                                                                                                                                                                                                                      |
|---------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.      | Is your company a member of any trade and chamber or association? If Yes, Name only those major ones that your business deals with                                                                                                                                                                                           | Yes. The Company is a member of Federation of Indian Chambers of Commerce and Industry, PHD Chamber of Commerce and Industry, PET packaging Association for Clean Environment, The Associated Chambers of Commerce and Industry of India and Action Alliance for Recycling Beverage Cartons. |
| 2.      | Have you advocated/lobbied through above associations for the advancement or improvement of public good? Yes/No; if yes, specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others) | With reference to above, we make representations directly or through PepsiCo India for advocating conducive policies around plastic waste management, etc.                                                                                                                                   |

**Principle 8:**

**1. Does the Company have specified programmes/initiatives/projects in pursuit of the policy related to Principle 8? If yes, details thereof?**

Yes. The Company do have various initiatives and programmes for community development and their wellbeing. Some of them are giving scholarship to school children especially for girls, providing reading material and stationery to poor children, providing fund for safe drinking water facility and wash rooms facilities, providing basic food safety and hygiene training and awareness to school children, pond cleaning in different villages, creating awareness for water conservation and prevention of water pollution along with rural and slum area development etc.

**2. Are the programmes/projects undertaken through in-house team/own foundation/external NGO/government structures/any other organization?**

All the community development initiatives were undertaken by own foundation and often with the help of external agencies/ organizations.

**3. Have you done any impact assessment of your initiative?**

Yes. Informal feedback is being taken and frequent visits were carried out to establish impact of the initiatives and to re-establish that such initiatives are worth and effective. Though not mandatory under

the provisions of the Companies Act, 2013 but to follow the good governance practice, the Company is also exploring an external agency for doing an impact assessment of existing projects.

**4. What is your Company's direct contribution to community development projects - Amount in INR and the details of the projects undertaken?**

The Company has spent INR 67.54 million towards various development projects under environment protection, cleaning, availability of resources and community safety and wellbeing. In addition, the Company has significantly spent towards environment and community development by taking various initiatives like rain water harvesting via ponds development for effective recharging of rain water, creating awareness for water harvesting and water pollution, celebration of Sandi Bird festival, solar lights installation at villages, tree plantations in villages, Nukkad naatak for environment protection, providing clean water facility by installation of hand pumps and water coolers at schools and villages, driving Swachh Bharat Abhiyaan by involving villagers, promoting sports, blood donation and health checkup camps, driving food safety and personal hygiene sessions at schools and institutes, road safety awareness in community, books distribution and drawing competition in schools.

**5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words or so.**

Yes. The Company ensures the community development initiative through internal tracking mechanisms and field visits. Informal feedbacks are also obtained from the community on such

initiatives for example, before cleaning of pond for rain water harvesting, community training and awareness sessions were executed on the topic of water conservation and water pollution prevention and not to dump trash in ponds so that ponds remain cleaned throughout year. It was noted that there was significant reduction in dumping trash in to ponds post training was imparted to villagers.

**Principle 9:**

| Sl. No. | Particulars                                                                                                                                                                                                                                                                              | Details                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|---------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.      | What percentage of customer complaints/consumer cases are pending as on the end of financial year?                                                                                                                                                                                       | Out of the total 1,611 consumer complaints received through PepsiCo's customer care, we resolved 1,590 complaints during the year and 21 are pending.<br><br>Out of the total 68 consumer cases outstanding at the start of the year, we resolved 9 cases and further 9 cases were added during the year i.e. 88.31% of consumer cases are pending before various consumer forums.                                                                                                                                                                                                                  |
| 2.      | Does the company display product information on the product label, over and above what is mandated as per local laws?                                                                                                                                                                    | Yes. Apart from the product information as mandated by law, The Company provides following information on certain products / SKUs with regards to effective consumption and disposal of products - "shake well before use, Store away from direct sunlight in a cool place, Once open keep refrigerated and consume within 03 days, Recycle symbol, Serve chilled, Do not buy if pack is puffed, No added Preservatives".                                                                                                                                                                           |
| 3.      | Is there any case filed by any stakeholder against the company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behavior during the last five years and pending as on end of financial year? If so, provide details thereof, in about 50 words or so. | There are no cases alleging unfair trade practice, irresponsible advertising and/ or anti-competitive behavior. VBL is guided by the PepsiCo's global policy on responsible advertising & marketing guidelines available at web link - <a href="https://www.pepsico.com/esg-topics-a-z/advertising-and-marketing-to-children-and-school-sales">https://www.pepsico.com/esg-topics-a-z/advertising-and-marketing-to-children-and-school-sales</a><br><br>Further, regular trainings of VBL's employees are conducted to ensure compliance which is subject to audit by Business Responsibility Head. |
| 4.      | Did your company carry out any consumer survey/consumer satisfaction trends?                                                                                                                                                                                                             | As per the arrangement with PepsiCo, brand development and product/packaging innovation is PepsiCo's responsibility and VBL is guided by PepsiCo's global policies on nutrition criteria in the products available at the web link - <a href="https://www.pepsico.com/esg-topics-a-z/sugar">https://www.pepsico.com/esg-topics-a-z/sugar</a>                                                                                                                                                                                                                                                        |

For and on behalf of the Board of Directors  
For **Varun Beverages Limited**

**Ravi Jaipuria**

Chairman

DIN: 00003668

Date: February 3, 2022

Place: Gurugram